

2. **All creditors to be paid *pari passu*.** — As amongst the creditors themselves, the Court acts upon the well-known principle that “equality is equity,” and, therefore, whether the trust be created by deed (*c*) or will (*d*), the specialty debts in the absence of express directions to the contrary will have no advantage over simple contract debts, but all will be paid in ratable proportions; and, of course, the trustees will not be allowed to break in upon the rule of equality by first discharging their own debts (*e*).

3. **Specialty creditors.** — It was formerly ruled, that where a testator *charged* his freehold estate with debts, and the estate subject to the charge descended to the *heir*, the specialty creditor had precedence, for it was argued that he had his remedy at law against the heir independently of the will, and therefore ought not to be put on a level with those taking under the will (*f*). The answer is, that the specialty creditor has no *lien* upon the estate, but can only recover the debt from the heir personally to the extent of the assets descended. If the estate be subject to the charge, the heir takes not beneficially but only as trustee, and then there are no legal assets in consideration of equity, and the bond creditor may be enjoined from pursuing his legal right. And on these grounds it has been decided that specialty debts are not entitled to a preference (*g*).

4. **Case of trustee being also executor.** — It was also [*525] thought at one time, that if the estate charged *with the debts was to be administered by the *executor*, the testator must have meant that the executor should, as in his executorial capacity, observe the *legal* priorities (*a*); how-

(*c*) *Wolestoncroft v. Long*, 1 Ch. Ca. 32; *Hamilton v. Houghton*, 2 Bligh, 187, *per* Lord Eldon; *Child v. Stephens*, 1 Vern. 101.

(*d*) *Wolestoncroft v. Long*, 1 Ch. Ca. 32; *Anon.* 2 Ch. Ca. 54; &c.

(*e*) *Anon.* 2 Ch. Ca. 54.

(*f*) *Fremoult v. Dedire*, 1 P. W. 429; *Young v. Dennett*, 2 Dick. 452; *Blatch v. Wilder*, 1 Atk. 420; *Allan v. Heber*, Str. 1270; S. C. 1 W. Bl. 22; and see *Plunket v. Penson*, 2 Atk.

290; *Delany v. Delany*, 15 L. R. Ir. 55.

(*g*) *Shipyard v. Lutwidge*, 8 Ves. 26; *Pope v. Gwyn*, cited Ib. 28, note; *Bailey v. Ekins*, 7 Ves. 319; *Batson v. Lindegreen*, 2 B. C. C. 94; *Hargrave v. Tindal*, cited *Newton v. Bennet*, 1 B. C. C. 136, note.

(*a*) *Girling v. Lee*, 1 Vern. 63; *Cutterback v. Smith*, Prec. Ch. 127; *Bickham v. Freeman*, Ib. 136; *Mas- ham v. Harding*, Bunb. 339; *Foly's*